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Succeeding in the Japan/ Asia Pacific Markets

David Ushijima
Director, Asia Pacific Platform Market Development
Palm, Inc.

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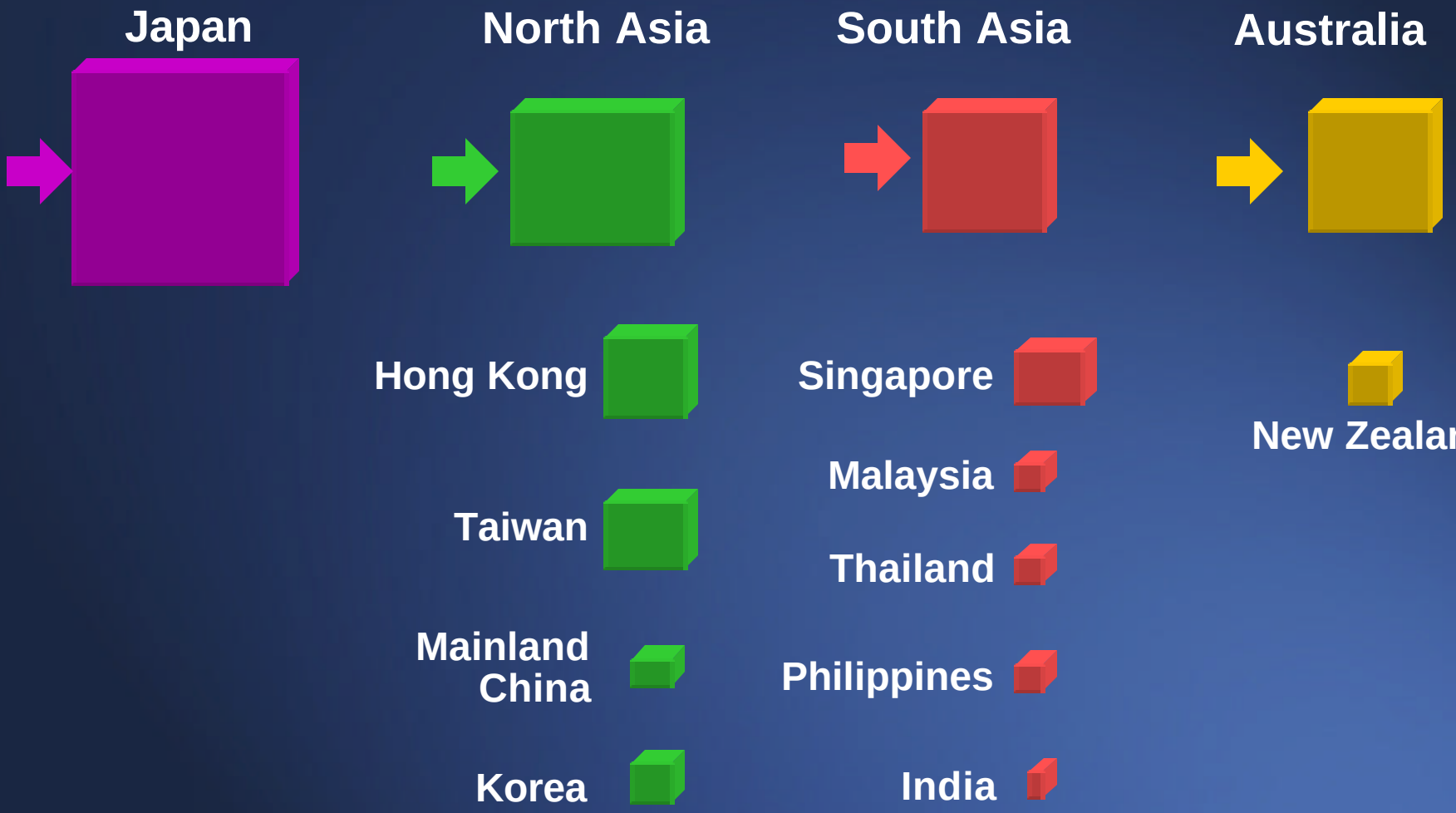
Agenda

- Introduction to the Region
- Japan
  - Craig Will, Regional Director Japan & Asia Pacific
- North Asia
  - Connie Chiu, Director Business Development, North Asia
- South Asia and ANZA
  - Daren Ng, Sales Director, South Asia and ANZA

A Region of Diversity, Growth and Innovation

- Extreme Diversity in language, culture, size
- Fastest Growing Region for Palm Worldwide
- Leading-edge trends in the mobile marketplace

Asia Pacific Region at a Glance



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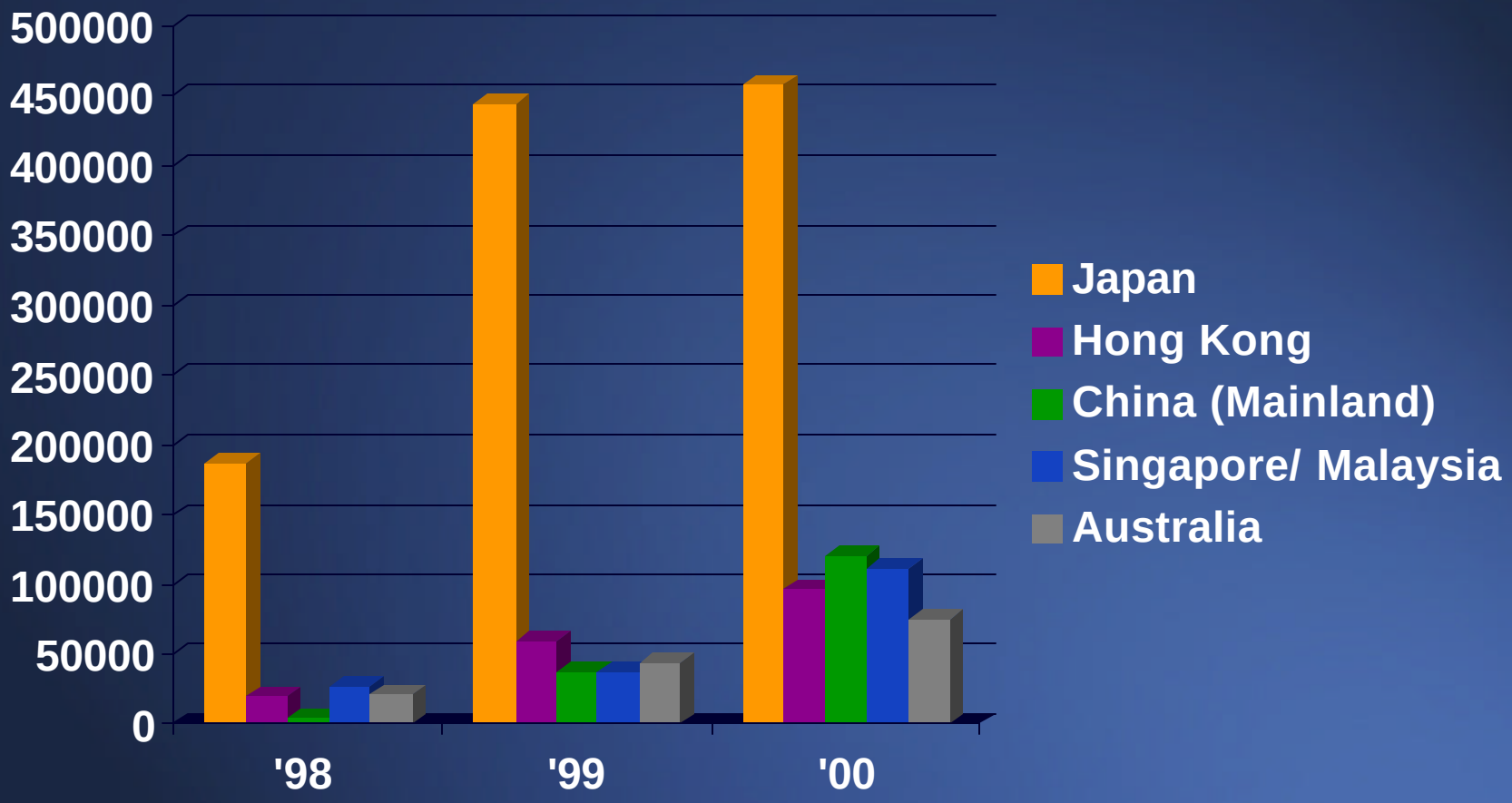
Asia-Pacific Overview and Japan

Craig Will
Regional Director,
Japan and Asia Pacific
Palm, Inc.

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High Growth Markets in APR

Personal Companion Market (IDC) by region (units shipped)

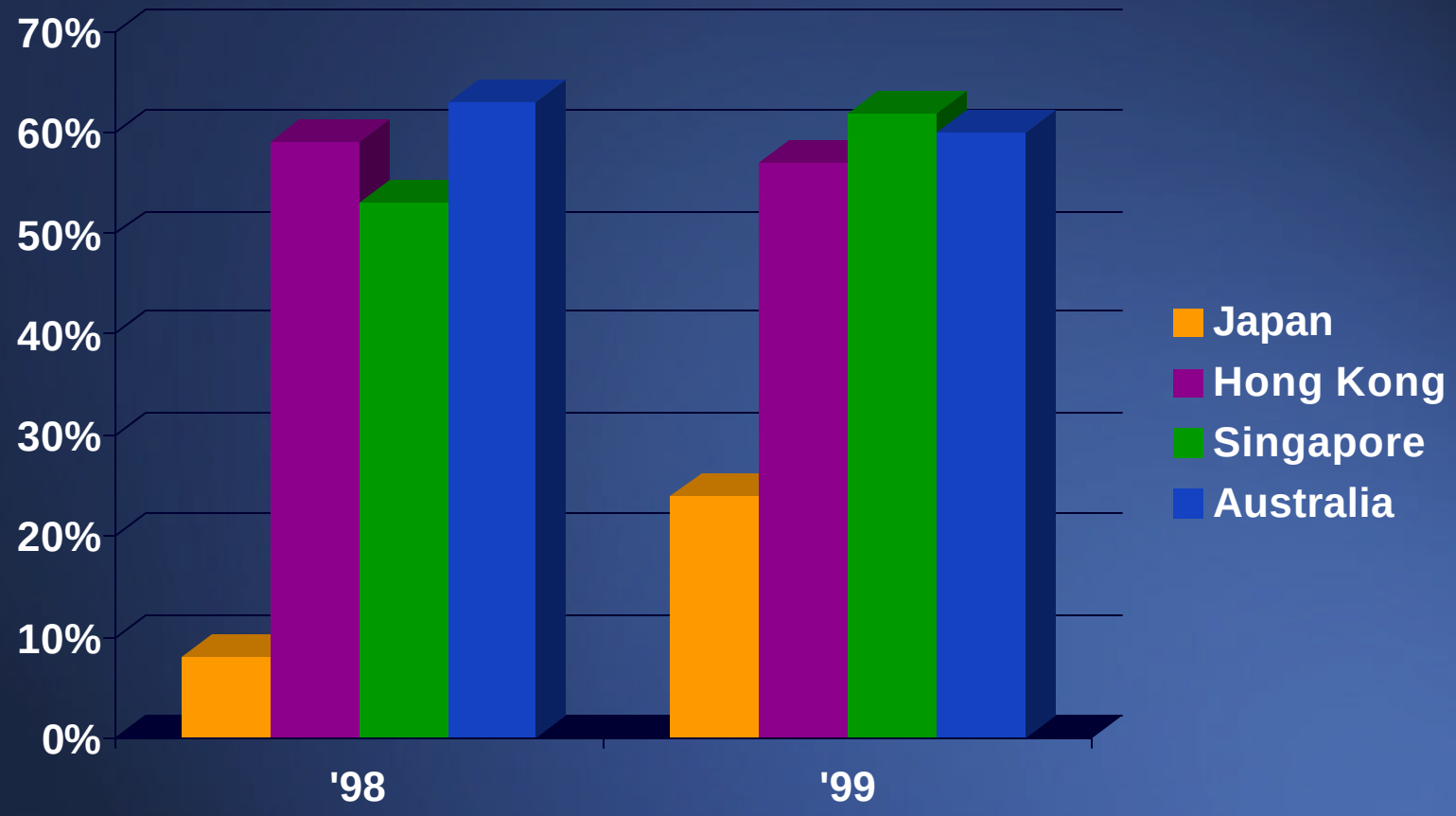


(IDC Smart Handheld, 1H'00)

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Palm OS® Marketshare: Japan and APR

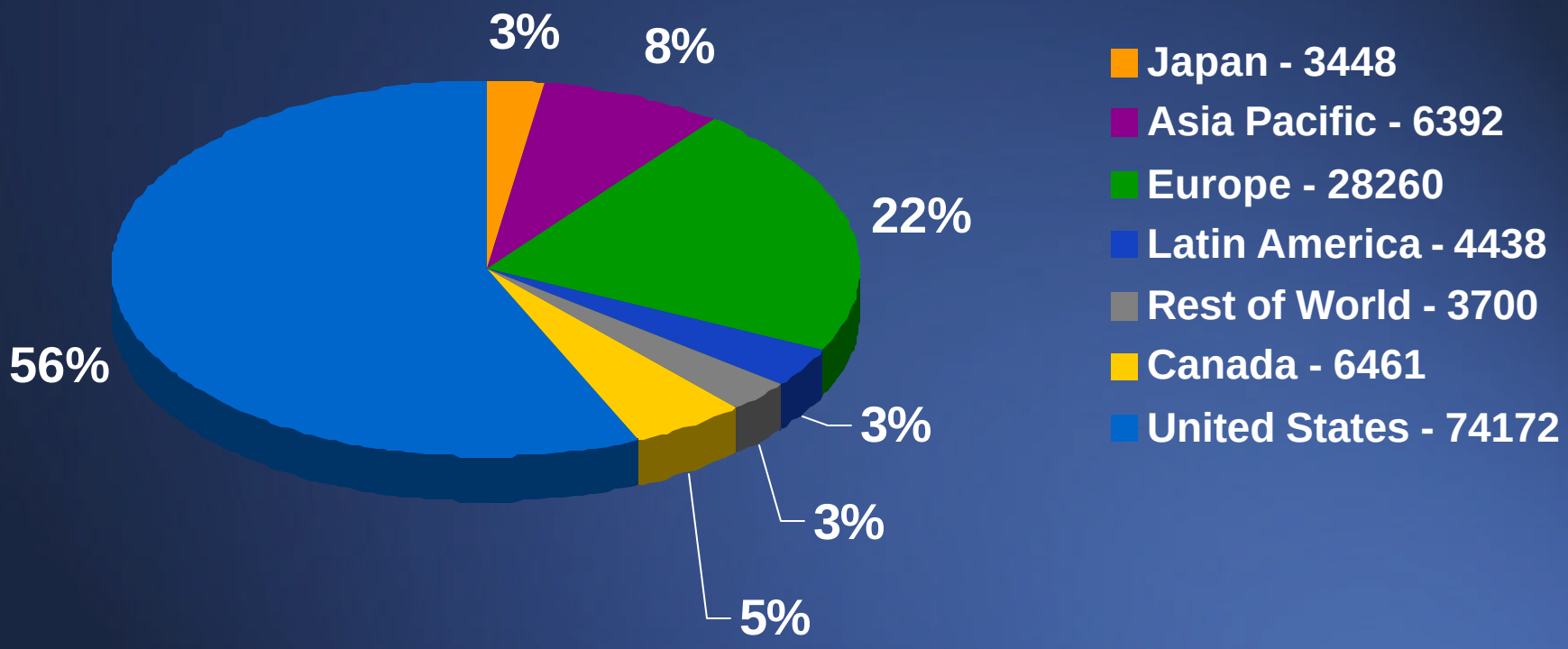
Palm OS Marketshare/ Personal Companion (units)



IDC APR/Japan Smart Handheld 1H '00

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40% of WW Palm OS Developers Are Located Outside of North America



Total: 130,760 as of 12/04/2000

Snapshot of Japan

- Demographics of the Country
  - 125m people, all of them mobile
  - 60m+ mobile phone subscribers
  - 2nd largest computer market in the world
- Market size
  - 443k units (IDC ’99 Handheld Personal Companion)
  - 137% growth vs. ’98

Market Trends: Japan

- Long history of handheld devices
  - Shift from Sharp Zaurus to Palm OS®
- Growth of iMode
  - Photos of iMode handsets
  - Chart of iMode growth versus actual data usage
- PC Penetration/Internet usage
- Mobile Lifestyle

Palm, Inc. in Japan

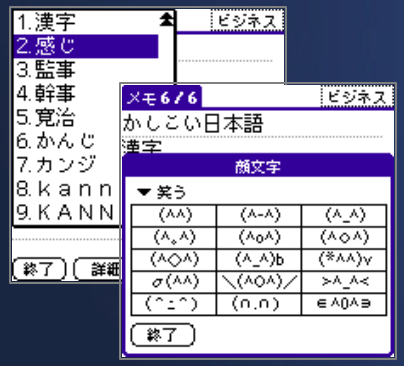
- History of Palm, Inc. in Japan
  - Japanese version of Palm OS, Feb. 1999
  - IBM Japan addresses business personal market
  - Palm Computing K.K. est. in Mar. 2000
- Growth of Palm OS Platform in 2000
  - Palm Vx, IIIc, m100
  - IBM WorkPad, Sony Clie, Handspring Visor, TRGPro
  - Now addressing business productivity, enterprise computing, consumer lifestyle and multimedia opportunities

Challenges and Opportunities

- Challenges
  - Growth of the overall handheld market
  - Wireless phone vs. PDA
  - Competition
- Opportunities
  - Wireless Internet access
    - Palm’s entry into the wireless Internet space
  - Mobile enterprise applications
  - Add-on software, hardware, and accessories

New Japanese Solutions

- Bestselling and Innovative 3rd party software titles
  - JustSystem's Atok Pocket for Palm
  - Palmscape web browser (ILinx)
  - Japanese HWR (Neos)
  - gMedia MoviePlayer for Clie(General Media)
  - JaMaps (KDD Lab)



ATOK Pocket



Palmscape



GOGOPen HWR



gMedia



JaMaps

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New Japanese Solutions

- Images of some popular and innovative hardware add-ons
  - Link Evolution IR add-on for iMode phones
  - Casio IR Camera Watch
  - Panasonic data comm cable
  - Sony's MemoryStick



LinkEvolution IRGear



Sony MemoryStick



Panasonic KX-HA1 PHS adapter cable



CASIO WQV Wrist Camera

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Where to Go From Here

- Need to Localize
  - Localization resources
- Local Distribution, Marketing, and Support
  - Finding a local partner
  - Selling via the web
- Attend the Roundtable
  - Following this session

North Asia

Connie Chiu
Director, Business Development, North Asia
Palm, Inc.

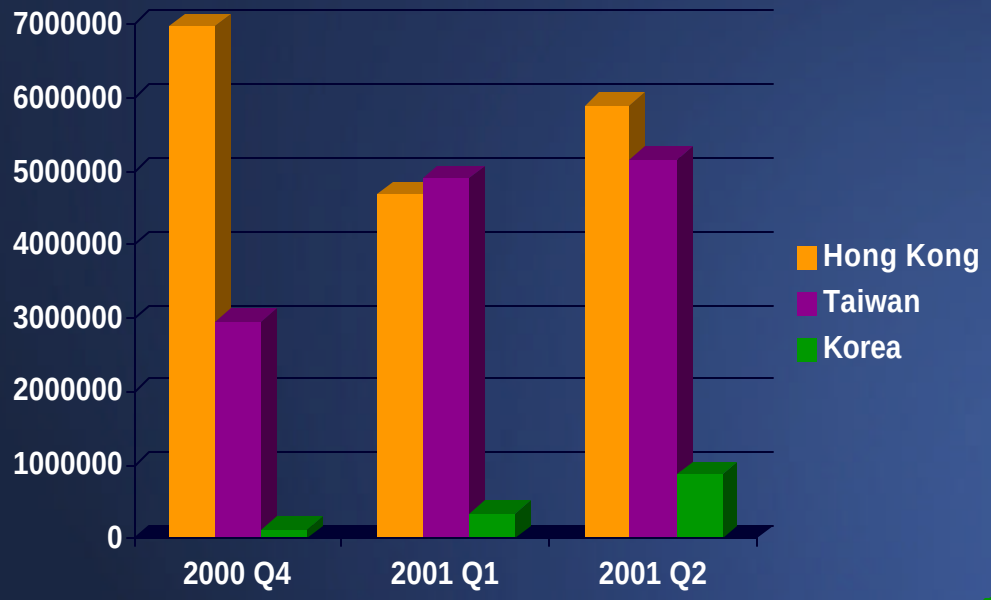
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Market Overview

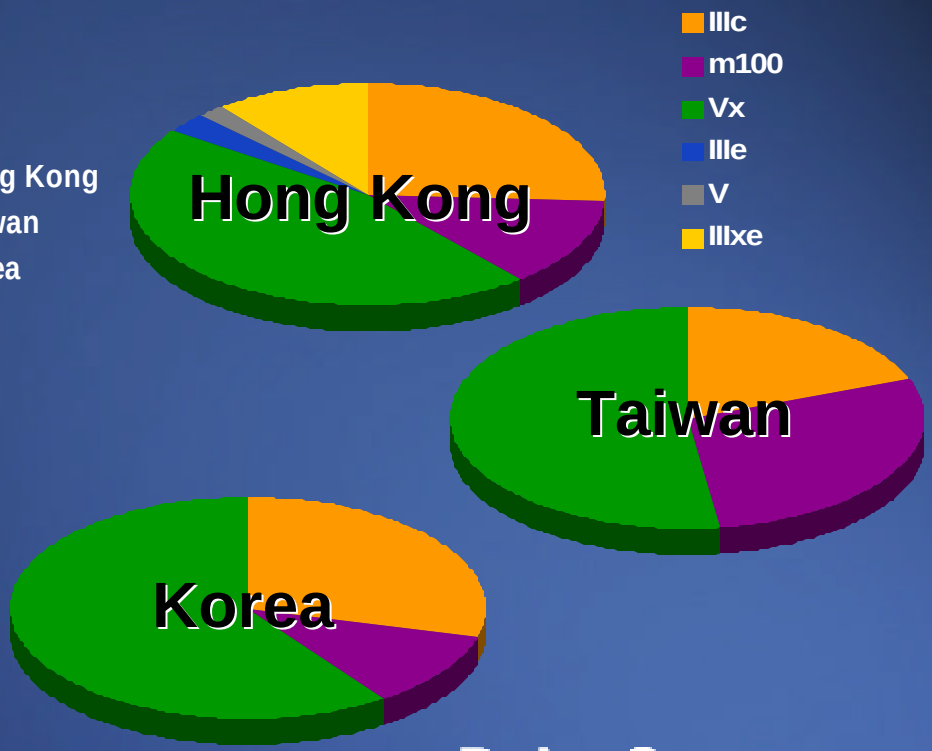
	Korea	Taiwan	Hong Kong	China
Population (Million)	47.3	22.1	7	1250
GDP Per Head (US$)	8,000	13,000	23,000	751
HouseHold PC Penetration %	47	25	58	2.5
Internet penetration %	50	23	18	1.5

North Asia Sales Information

N. Asia Revenue Distribution (%)



APR Sales since 2000 Q4



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Market Opportunities





WAP

SMS

Mail

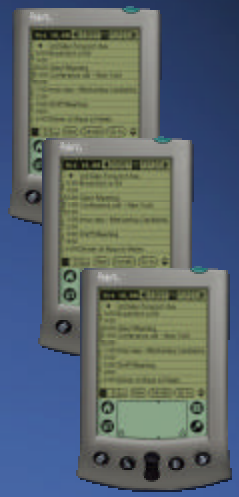
Web Clipping

TCP/IP

Enterprise

Wireless

Palm Device Market Grow



Retail/ Distribution Palm and 3rd Party accessories/ apps

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Market Development Stages

North Asia Markets	Market Entry Period	Retail Distribution	Enterprise	Wireless Development	User Characteristics
Hong Kong	1998	Mature Palm Device prevails	Employee Purchase, Company purchase, Emergence of enterprise solutions	GSM sled CDMA cable CDPD network Under development GPRS coming	Palm as status symbol, gifts
Taiwan	Spring 2000	Mature Palm Device prevails	Employee Purchase, Vertical Markets Intranet Connectivity	GSM sled PHS network Under development GPRS coming	Palm as status symbol, gifts Functionalities/ specs are important
Korea	Autumn 2000	Initial Stage Local Device prevails	Protective market, Good Market Potential	CDMA sled Developer with strong wireless capability	Language barrier, Functionalities/ specs are important
China	Market Study	Initial Stage Local Device prevails	Localization required, Good Market Potential	GSM sled/ CDMA network/ GPRS Under development	Language barrier, Functionalities/ specs are important

Opportunities

- Localization is key
  - Overlays and Dictionary, local apps etc.
- Leverage Developer Strengths in North Asia
  - Hong Kong as Gateway to China and Taiwan
  - CEM capability in China and Taiwan
  - Strong Software/localization teams in China
  - Korea as ASIC design centre and strong in Telecom protocol development
- Wireless Development
  - Mobile Internet Kit launched in Hong Kong and Taiwan
  - Need more localized content and charging scheme
- Enterprise solution
  - Kick off enterprise support program in spring 2001
  - Demand on mobile solution
- Venture Capital required to support developers

Top Selling Chinese Solutions

- Software
  - Chinese Solutions
    - PalmDragon & GoGoPen
    - CHOS & PenPower
    - Dr. Eye
- Hardware
  - Wireless module (Clip-on)
    - Evercom, Oh Fish, Realvision
  - Enterprise tools
    - eChoice Laser 2D bar code scanner
    - Smart card (IC card) reader by Action
    - International



Where to Go From Here

- Localization is key
  - Authorized training centres
    - Hong Kong: Hong Kong Productivity Council
    - Taiwan: IWIN
- English apps suitable for Hong Kong market
- Local Distribution, Marketing, and Support
  - Finding a local partner
  - Selling via the web
  - Contact Palm HK office at 852-2166 8195
- Attend the Roundtable
  - Following this session

South Asia and Australia/New Zealand

Daren Ng
Sales Director,
South Asia and ANZA
Palm, Inc.

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Snapshot of South Asia/Anza

- South Asia
  - Singapore (APR HQ)
  - Malaysia
  - Thailand
  - Philippines
  - Indonesia (January 2001)
  - India (March 2001)
- ANZA
  - Australia
  - New Zealand

Market Size (and Palm's Share)

- IDC '99 Asia Pacific Handheld Personal Companion
  - 45% of Asia Pacific from Singapore, Australia alone
  - 92,000 (49k+43k) units
- Palm, Inc. share(according to IDC)
  - 62.4% in Singapore
  - 59.9% in Australia

Demographics of the Region

- Size of area
- Population
- Economic climate
- Retail maturity
- Telecommunication infrastructure
- Other related information

Australia



- World's smallest continent, but 6th largest country
- Land Area: 7,617,930 sq km (4.7 m sq miles)
- Comparative: slightly smaller than the US
- Population: 19,169,083
- 6 states and 2 territories
- Mature retail market
  - Large format stores
  - IT stores
  - Cell operators
  - Imaging centers
  - Specialty stores
- High mobile phone penetration



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New Zealand



- Land Area: 269 K sq km (167 sq miles)
- Comparative: about the size of Colorado
- Population: 3,819,762
- Low inflation rate (1.3% in 1999)
- Split into North and South Islands
- Mature retail market
  - Large format stores
  - IT stores
  - Specialty stores



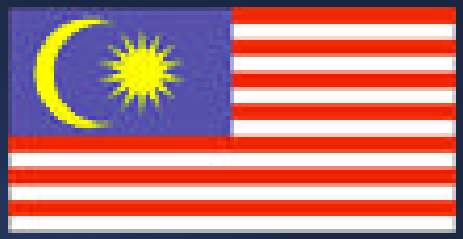
Singapore



- Land Area: 647 sq km (402 sq miles)
- Population: 4,151,264
- Highly developed free-market economy with a corruption-free business environment
- 5th highest per capita GDP in the world
- Mature but mixed retail market with many large format chain stores and many small neighborhood shops
- IT stores, Telcos, specialty stores
- Very high mobile phone penetration



Malaysia



- Land Area: 329,750 sq km (204,941 sq miles)
- Population: 21,793,293
- Split into East and West Malaysia, West Malaysia being the dominant business center
- Growing retail market with Klang Valley being the most mature



Market Trends: South Asia and Anza

- Enterprise requirements
  - Making full use of Palms already in the enterprise
  - Service and support requirements arising
  - Looking for specific mobile solutions
    - Wireless LAN connectivity
    - Sales force automation
    - Enterprise level synchronization of info
- Wireless connectivity
  - 30+ web clipping content partners today
  - GSM clip-on devices
  - GPRS ready in Singapore

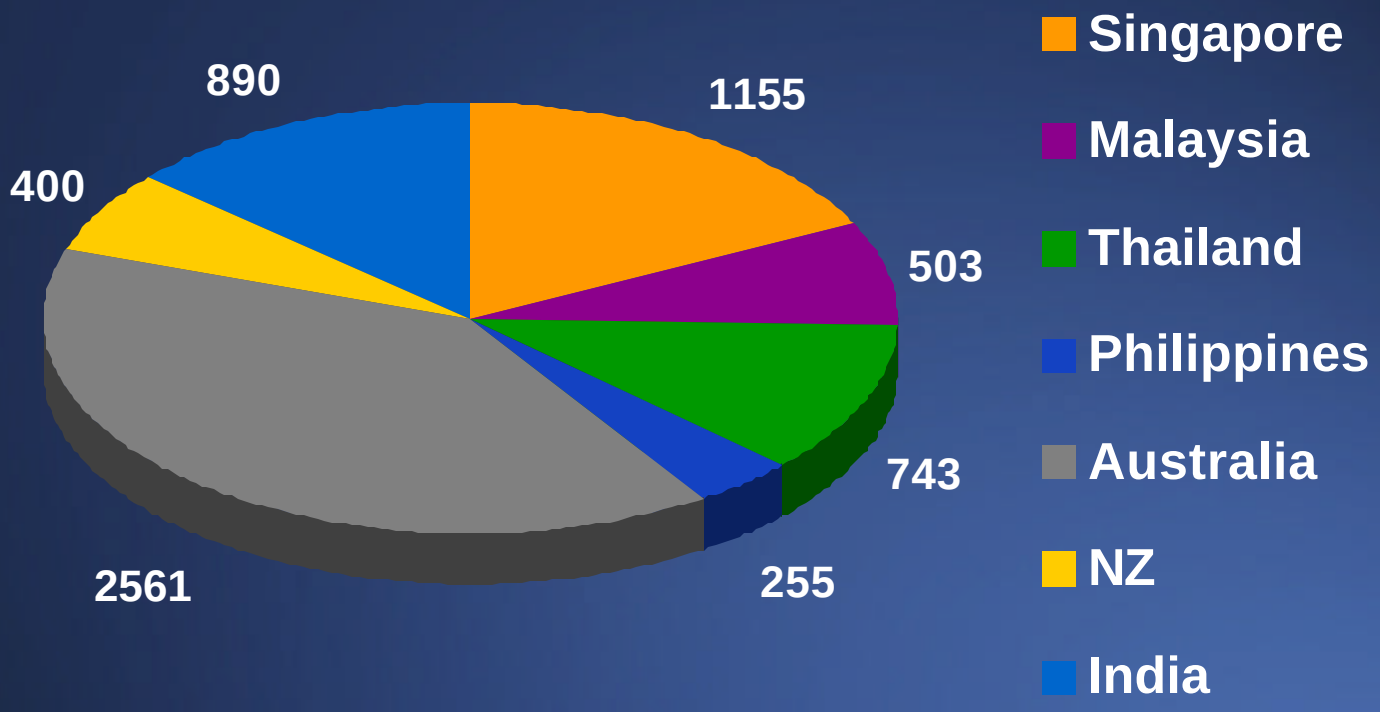
Palm, Inc. in South Asia and Anza

- At least 2 distributors in each country
  - Ingram Micro (Singapore, Malaysia, Thailand)
  - Tech Pacific (Singapore, Australia, NZ)
  - Others (Microwarehouse, Value, Servex, APT, Insite, Lamco)
- Growth of Palm OS® Platform
  - Local Developer base
  - Total number of developers in SA and ANZA is
- Strong Palm user group in each country
- Palm, Inc. continues to be #1 in SA & ANZA with approximately 60% share overall

Challenges and Opportunities

- Challenges
  - Extremely price market in certain countries
  - Retail immaturity means a larger un-addressed market
  - Competition on same level for new markets
- Opportunities
  - Huge untapped market
  - Enterprise solutions
  - Wireless

Registered Developers



Total: 130,760 as of 12/04/2000

Top-Selling Local Solutions

- Bestselling 3rd-party software titles
  - Thai overlay
  - Leading content providers and portals supporting web clipping
- Images of some popular and innovative hardware add-ons
  - Shinei Voice Recorder, MIDI, MP3
  - Sunderland smart card reader, wireless LAN

Where to Go From Here

- Except for Thailand, language localization is not required
- Local Distributors have the capability to Market and Support (depending on product and level)
  - Go for existing Palm, Inc. distributors
  - Use e-tailers for country-specific requirements only
- Attend the Roundtable
  - Following this session


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